

ORDINANCE NO. A 7d

TOWN OF DECATUR, MISSISSIPPI

AN ORDINANCE GRANTING TO UNITED GAS CORPORATION, ITS SUCCESSORS AND/OR ASSIGNS, THE RIGHT AND FRANCHISE TO CONSTRUCT, LAY, MAINTAIN, CHANGE THE SIZE OF, AND OPERATE PIPE LINES AND GAS MAINS, AND APPURTENANCES, INCLUDING, BUT NOT LIMITED TO, ITS EXISTING DISTRIBUTION SYSTEM, IN UNDER, UPON, OVER, ACROSS AND ALONG AND TO USE PRESENT AND FUTURE STREETS, AVENUES, ALLEYS, HIGHWAYS, ROADS, BRIDGES, VIADUCTS, SQUARES, PARKS, STREAMS, AND PUBLIC PROPERTIES OF THE TOWN OF DECATUR, NEWTON, COUNTY, MISSISSIPPI, FOR THE PURPOSE OF TRANSPORTING, DISTRIBUTING AND SELLING GAS (NATURAL AND/ OR ARTIFICIAL AND/ OR MIXED) FOR ALL PURPOSES FOR WHICH GAS MAY BE USED TO THE MUNICIPALITY AND THE INHABITANTS THEREOF AND TO ANY OTHER PERSON OR PERSONS; PROVIDING FOR MAINS AND PIPES TO BE LAID SO AS NOT TO INTERFERE WITH WATER PIPES OR SEWER PIPES; PROVIDING THAT SERVICE FURNISHED SHALL BE SUBJECT TO REASONABLE RULES AND REGULATIONS; FIXING PAYMENTS TO BE MADE THE MUNICIPALITY; REPEALING ALL OTHER ORDINANCES, RESOLUTIONS AND ORDERS, OR PARTS OF SAME, HERETOFORE PASSED WHICH ARE AT VARIANCE, OR IN CONFLICT, HERewith, AND FIXING THE TIME WHEN THIS ORDINANCE SHALL BECOME EFFECTIVE.

BE IT ORDAINED BY THE MAYOR AND BOARD OF ALDERMEN OF THE TOWN OF DECATUR NEWTON COUNTY, MISSISSIPPI, LAWFULLY ASSEMBLED IN REGULAR PUBLIC MEETING:

SECTION 1. “Grantor” and “Municipality” shall mean The Town of Decatur, Newton County, Mississippi, a municipal corporation; and “Grantee” shall mean United Gas Corporation, a corporation, its successors and/or assigns.

SECTION 2. That in consideration of the benefits that will accrue to the Grantor, and the inhabitants thereof, and of the payment by the Grantee to the Grantor of a sum of money equal to two percent (2%) of the revenue of Grantee from the sale of gas for residential and commercial purposes to customers situated within the limits of the municipality, as the same may now or hereafter lawfully exist, payable annually on or before February 10th of each year for the amount due on account of such sales during the preceding calendar year, or part thereof in which this franchise is in effect, except that the first payment to be made hereunder shall be retroactive to and include receipts from such sales made between March 25, 1956, and December 31, 1956, and shall be paid Grantor concurrently with the acceptance and approval of this ordinance, and the rights and franchises granted hereby, by Grantee, said Grantee, its successors and/or assigns,

shall be and is hereby granted a franchise for a period of twenty-five (25) years, as hereinafter provided, with full right and privilege to construct, lay, maintain, change the size of, operate, use, extend, remove, replace and repair in, under, upon, over, across and along any and all of the present and future streets, avenues, parkways, squares, alleys, thoroughfares, roads, highways, sidewalks, viaducts, bridges, streams, public grounds, public properties and other public places in the municipality, and in any and all streets, territories and areas hereafter annexed to or acquired by and placed within the corporate boundaries of said municipality, a system of pipes, pipe lines, gas mains, laterals, conduits, feeders, regulators, meters, fixtures, connections and attachments and other desirable instrumentalities and appurtenances, including, but not limited to, its existing distribution system, necessary or proper for the purpose of transporting, distributing, supplying and selling gas (natural and/or artificial and/or mixed) for heating, lighting, power and for any other purpose for which gas may now or hereafter be used, in and to said municipality and its inhabitants or any other person or persons within or without the corporate boundaries of said municipality; provided, however, if any valid present or future law requires any payment by Grantee to Grantor for, or in connection with, the exercise by Grantee of any of its rights hereunder, then the two percent (2%) payments hereinabove provided for shall be reduced by the amount of any payments so required by Statute, but in no event shall Grantor be paid less than a sum of money equal to two percent (2%) of the revenues of Grantee from the sale of gas for residential and commercial purposes to customers situated within the limits of the municipality.

SECTION 3. Grantee's property shall be so constructed and maintained as not to interfere unreasonably with traffic over the public thoroughfares of said municipality and the same shall be laid in accordance with the lines and grades established by the municipality; all pipes and mains shall be laid so as not to interfere with any water pipes or sewer pipes located in the municipality, and any damage which may be done to any of the water pipes, sewer pipes, streets, avenues, alleys, public grounds and public places in the municipality by Grantee in laying or repairing its gas mains and pipes shall be repaired and restored by Grantee, without cost to the municipality and within a reasonable length of time, to a condition, as nearly as practical, as that which existed prior to the laying or repairing of the gas mains and pipes.

SECTION 4. Unless otherwise ordered by duly constituted regulatory authority, Grantee shall not be required to run or extend any connecting pipes, pipe lines, service pipes, laterals, and/or to its distribution system a distance exceeding one hundred (100) feet of pipe for each additional customer.

SECTION 5. The service furnished hereunder to said municipality and its inhabitants shall be subject to such reasonable rules and regulations as Grantee may make from time to time. Grantee may require reasonable security for the payment of its bills.

SECTION 6. Grantee shall hold Grantor harmless from all expenses or liability for any unlawful or negligent act of Grantee hereunder.

SECTION 7. All gas sold within the municipality shall be billed in accordance with existing applicable rate schedules, or in accordance with such other effective superseding rate schedules as may be authorized by duly constituted regulatory authority, or as may become effective in the manner now or hereafter provided by law; and either Grantor or Grantee may seek authorization

through regulatory procedures for such change as may be necessary to make any rate schedule just and reasonable.

SECTION 8. After its passage and adoption, and after the same has been approved by a majority of the qualified electors of said municipality voting thereon at an election as provided by law, this Ordinance shall take effect and be in force, as provided by law; and upon the filing of a written acceptance with the Grantor by Grantee, within sixty (60) days after the final passage and approval of this ordinance, the franchises and rights granted hereby shall remain and continue in force for a period of twenty-five (25) years from the date of filing of said written acceptance.

SECTION 9. That all ordinances, resolutions and orders, or parts of same, heretofore passed which are at variance, or in conflict, with this ordinance, be and the same are hereby repealed, from and after the final passage and approval of this ordinance and upon the filing of a written acceptance thereof with the Granter by Grantee, within sixty (60) days thereafter.

SECTION 10. Nothing herein contained shall ever be held or considered as conferring upon Grantee, its successors and/or assigns, any exclusive rights or privileges.

Whereupon said ordinance was declared duly passed and adopted.

ADOPTED AND APPROVED on this 17th day of January, 1957.